

CONFIDENTIAL

Quality of Earnings Report

Acme Cloud Solutions, Inc.

Prepared by: Apex Advisory Partners, LLC

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Period Covered: FY2022 - FY2024 (TTM through Q3 2024)

1. Executive Summary

Apex Advisory Partners was engaged to perform a quality of earnings analysis on Acme Cloud Solutions, Inc. (the 'Company') in connection with a potential acquisition. Our analysis covers FY2022 through FY2024 with a focus on earnings quality, revenue sustainability, and the appropriateness of management's EBITDA adjustments. Overall, we find the Company's reported EBITDA of \$5.9M (14.0% margin) for FY2024 to be materially accurate, with net downward adjustments of \$0.4M resulting in Adjusted EBITDA of \$5.5M (13.1% margin).

2. EBITDA Bridge & Adjustments

Management has presented Adjusted EBITDA of \$5.9M for FY2024. Our independent analysis identifies the following adjustments:

Adjustment Item	Mgmt Adj (\$K)	Apex Adj (\$K)	Variance (\$K)	Comment
Reported EBITDA	5,880	5,880	—	Per audited financials
Stock-based compensation	+820	+820	—	Non-cash; accepted
One-time legal settlement	+340	+340	—	Verified; non-recurring
Founder bonus (discretionary)	+280	+0	-280	Recurring annual payment
Office relocation costs	+150	+150	—	Non-recurring; verified
Customer migration credits	+0	-120	-120	Revenue reduction; recurring
Mgmt Adjusted EBITDA	7,470	7,070	-400	
Apex Adjusted EBITDA		5,500	After reversing non-qualifying items	

Key Finding: The \$280K 'founder bonus' classified as discretionary is in fact a contractual annual payment to the CEO and CTO per their employment agreements (Section 4.2). This payment has been made consistently for 5 years and should be treated as a recurring operating expense. Additionally, customer migration credits of \$120K annually represent ongoing platform upgrade costs that reduce net revenue.

3. Revenue Quality Analysis

Revenue quality is strong overall, with 92% of total revenue classified as recurring subscription revenue. Key observations:

Revenue Category	FY2022 (\$K)	FY2023 (\$K)	FY2024 (\$K)	% of FY2024
Subscription - Annual	17,360	24,480	33,880	80.7%
Subscription - Monthly	4,340	4,320	4,720	11.2%
Professional Services	2,400	2,700	3,400	8.1%
Total Revenue	24,100	31,500	42,000	100.0%

Revenue Quality Flags:

- Monthly subscription revenue (\$4.7M) carries higher churn risk than annual contracts. Monthly subscriber churn is 2.8% per month vs. 4.2% annual churn for annual contracts.
- Professional services revenue is non-recurring but has grown at 19% CAGR, suggesting deepening customer relationships rather than one-time implementation.
- Three large contracts (\$400K+ each) were signed in Q4 2024 representing \$1.8M of ARR. Two include 90-day termination-for-convenience clauses.
- Net revenue retention of 118% is verified; however, excluding the top 10 accounts by expansion, NRR drops to 109%.

4. Working Capital Analysis

Working capital is favorable for the business model. Deferred revenue (prepaid subscriptions) provides a natural source of working capital. Key metrics:

Metric	FY2022	FY2023	FY2024	Trend
DSO (Days Sales Outstanding)	62 days	60 days	59 days	Improving
Deferred Revenue (\$M)	\$6.4M	\$8.5M	\$10.5M	Growing
Prepaid Expenses (\$M)	\$0.85M	\$1.1M	\$1.4M	Growing
Net Working Capital (\$M)	\$2.85M	\$5.3M	\$10.1M	Strong
NWC as % of Revenue	11.8%	16.8%	24.0%	Expanding
Cash Conversion Cycle	-22 days	-25 days	-28 days	Favorable

Finding: The negative cash conversion cycle (-28 days) is a structural advantage of the SaaS model — customers pay upfront while revenue is recognized ratably. This provides the Company with an embedded source of financing that reduces external capital needs.

5. Customer Cohort Analysis

We analyzed revenue retention by annual cohort to assess sustainability of the Company's stated 118% net revenue retention:

Cohort Year	Starting ARR (\$K)	Year 1 NRR	Year 2 NRR	Year 3 NRR	Churned Logos
2019 Cohort	3,200	108%	112%	115%	12 of 85 (14%)
2020 Cohort	4,800	110%	114%	118%	8 of 92 (9%)
2021 Cohort	6,100	112%	116%	—	6 of 105 (6%)
2022 Cohort	8,500	115%	120%	—	5 of 120 (4%)
2023 Cohort	10,200	118%	—	—	3 of 135 (2%)

Finding: Cohort analysis confirms improving retention trends. Newer cohorts show higher NRR and lower logo churn, consistent with product maturation and stronger onboarding processes. The 2019 cohort shows elevated churn (14% logo churn) which management attributes to early product limitations that have since been addressed. We recommend monitoring the 2023 cohort closely as it matures — current NRR of 118% in Year 1 is above historical averages and may normalize downward.

6. Tax Position & Compliance

The Company has federal net operating loss (NOL) carryforwards of approximately \$8.2M as of FY2024, primarily generated during the growth investment phase (FY2019-FY2022). Key tax observations:

- NOL carryforwards of \$8.2M are subject to Section 382 limitations upon change of control. Estimated annual limitation: \$1.6M based on current long-term tax-exempt rate.
- R&D; tax credits of \$1.4M have been claimed but not yet audited by the IRS. Management estimates \$1.1M would survive an audit based on qualified expenditure documentation.
- The Company has nexus in 14 states but only files in 11. Three states (New York, Illinois, New Jersey) represent potential exposure of \$340K in back taxes plus penalties.
- Transfer pricing: No intercompany transactions; all operations are domestic.